



ROUGH RIDE Hopes were pinned on the conclusion of the BTA negotiations, but the sixth round of talks has been pushed back with no new date announced

knitted garments to the US, of which at least \$5 billion could be wiped out due to the 50% tariffs.

Similarly, while the broader Indian automotive industry is somewhat shielded from reciprocal measures, the sector still faces pressure from the specific 25% tariff on it. Experts note that India must recalibrate its strategy to sustain export momentum.

Indian manufacturers should actively look at setting up some production closer to the US, says Saurabh Agarwal, Partner and Automotive Tax Leader at professional

services major EY India. “Countries like Mexico and Canada, thanks to the USMCA trade agreement, allow our parts to enter the US without extra taxes if they meet certain local content rules. This makes them attractive places to move a part of our manufacturing to serve the US market,” he says.

The commerce ministry is understood to be talking to stakeholders to assess the impact of the 25% tariff, effective August 1, which is estimated to cover 55% of Indian exports to the US. It is also working on schemes to diversify India’s export

markets and target more countries.

Addressing the recent BT India@100 summit, Arvind Panagariya, Chairman of the 16th Finance Commission and an eminent trade economist, said India should aggressively pursue the free trade agreement with the European Union. “As one market closes, we need to open another wider,” he underlined.

For now, the US has exempted exports of pharmaceuticals, smartphones and petroleum products from the tariffs. But there are fears that Trump could change his mind on these.

While drug formulations and active pharmaceutical ingredients have been excluded from the current tariff list, the exemption may not last long. An ongoing investigation into pharmaceutical imports in the US has raised fresh concerns that Indian pharma exports could eventually be dragged into the tariff net.

“The investigation remains a medium-term overhang. Without clarity on the potential scope or rate, it’s hard to quantify the impact on Indian pharma players,” says Maitri Sheth, Equity Research Analyst of Pharma at Choice Broking.

Pharma industry analyst Salil Kallianpur echoes the sentiment. “The low-cost model, which underpins its success in the US, is particularly sensitive to price shocks,” he said. The US is India’s largest pharma export market, accounting for nearly 35% of exports in FY25.

Hopes were pinned on the successful conclusion of the BTA negotiations, but the sixth round of talks set to take place later this month has been pushed back with no new date announced. There also remain questions on whether the 25% additional tariff will come into play. Is this latest salvo a classic Trump pressure tactic to get India to agree to his terms? Or, will New Delhi manage to forge a mutually beneficial deal? **BT**

(With inputs from Surabhi, Neetu Chandra Sharma and Astha Oriel)